

CME Group

NASDAQ: CME
Current Share Price: $306.79
Implied Share Price: $333.20

Recommendation: BUY

FARMLAND
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Data Cutoff Eff.
Market Close 10 Mar. 2026
All Figures in USD

Team Introduction



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Investment Thesis: CME Group Thrives in volatility

CME Group

CME Group is a high-conviction BUY — durable volume growth, an unassailable market position, and underpriced catalysts support meaningful upside

01 STRUCTURAL ADVANTAGE

CME's Moat Is Deeper Than the Market Appreciates

CME operates the world's largest derivatives exchange, serving institutional investors, corporate/commercial investors, market infrastructure and data clients. Network effects, ~$120B+ in annual client margin, high operating margins, and $803M in recurring market data revenue create a position nearly impossible to replicate.

28.1M Record FY2025 ADV

02 MACRO TAILWIND

Post-2022 Volatility Creates a Durable Volume Environment

Structural macro uncertainty (Fed rate policy, geopolitical tensions, and persistent inflation) is sustainably driving demand for CME's hedging products. Commodities ADV grew +12% in 2025. Treasury clearing market now mandated onto clearinghouses.

+6% ADV Growth YoY

03 GROWTH OPTIONALITY

New Crypto & Clearing House Developments Are Underpriced by the Street

Institutional crypto adoption drove CME crypto ADV +92% YoY in Q4 2025. A new SEC-approved securities clearing house launching May 2026 opens the $40T+ U.S. equities clearing market, an entirely new revenue vertical not yet reflected in consensus estimates.

+92% Crypto ADV YoY

Current Price	Implied Price	Upside	WACC	EV/EBITDA	Peer Median
$306.79	$333.20	+8.6%	7.6%	19.4x	16.5x

Business Overview and Competitive Landscape

CME Group

•CME Group operates the world's largest derivatives exchange by volume with average 2025 daily volume over 28 million contracts
•Lists futures and options contracts across 6 asset classes: interest rates, equity indexes, FX, energy, metals, and agriculture
•Revenue model has 3 components: transaction/clearing fees, market data, subscriptions, and access fees
•FY2025 revenue was $6.5B, net income $4.1B, operating margin ~65%
•Owns and operates its own clearinghouse

Key Financials

Ticker	**NASDAQ: CME**
Share Price	**$306.34**
Total Revenue	**$6.5 billion**
Clearing and Transactions	***87%***
Market Data Revenue	***12%***
Total Enterprise Value	**$119 billion**
Market Capitalization	**$110 billion**

Financial exchange and market infrastructure industry:

- Trading venues
- Clearing and settlement
- Market data and analysis

CME operates in all three layers and is highly diversified

Industry Landscape:

- High fixed costs to build, low marginal costs to scale
- Network effects are strong: any increase in liquidity supports development and revenue
- Switching costs are high for contracts
- Revenue is directly tied to trading volumes and increased volatility

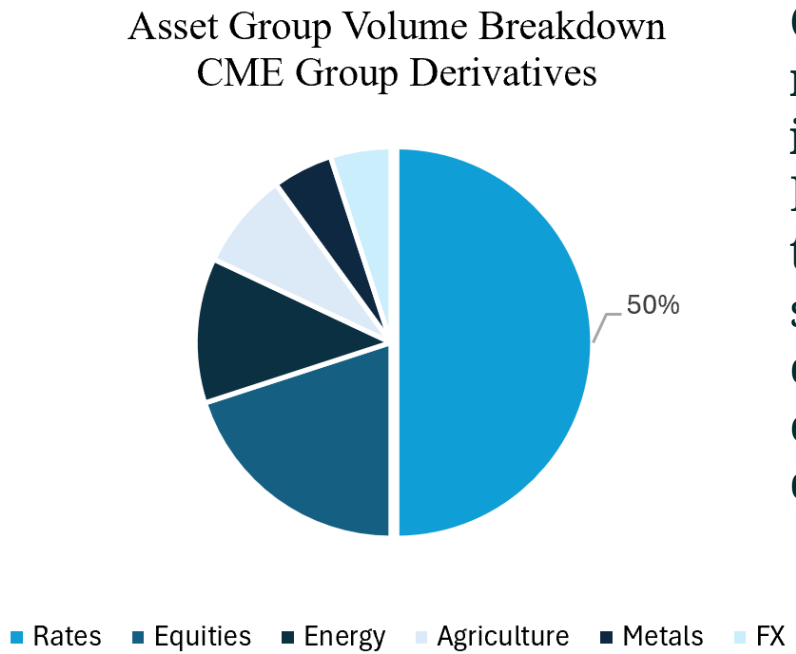
Competitors:

ICE — Owns NYSE; more diversified and competes in energy and credit derivatives; less dominant in derivative

Cboe — Focused on equity options and equity index products in US, own VIX; less dominant in derivatives

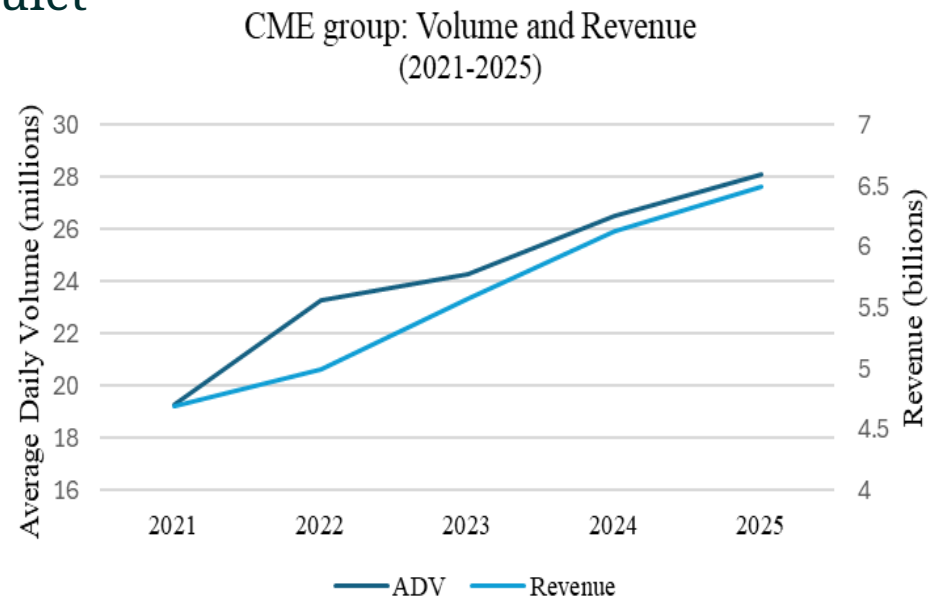
Nasdaq, mainly operates in equity markets and financial technology and data services; also in risk management tools and analytics

CME Group Analysis



CME Group is focused in Rates, unlike most other competitors: its dominance is unchallenged in its main asset class
Its diversified revenue streams, both in trading volumes and clearing and data services, allows its revenue to be consistently high regardless of global events, as it's unlikely every sector is quiet

CME Group's revenue is directly linked to daily trading volume, almost exactly proportionally



Macro Context and CME Group

Macro environmental drivers:

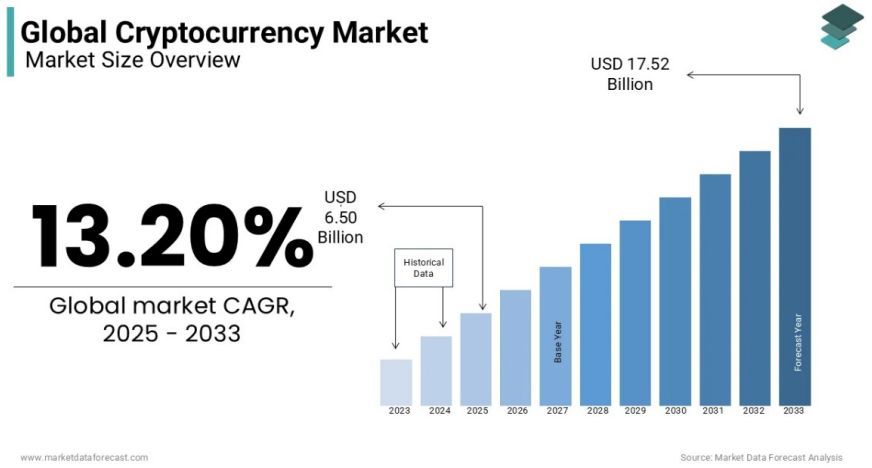
•Fed rate uncertainty driving record interest rate futures volume; 2-3 more fed cuts in next 2 years

•Geopolitical risk (Middle East, Russia-Ukraine, US-China trade) elevating commodity price volatility; commodities volume up 12% in 2025

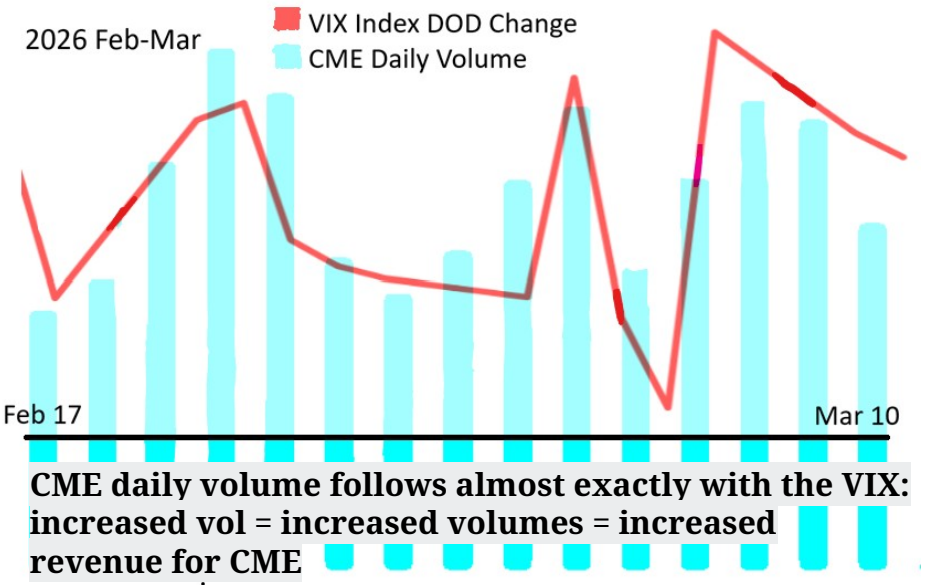
•Institutional crypto futures adoption accelerating

•SEC/regulatory mandate pushing US Treasury clearing onto central clearinghouses; $900B daily market, CME directly positioned to capture this

•Global market volatility structurally higher than pre-2022 era







CME daily volume follows almost exactly with the VIX: increased vol = increased volumes = increased revenue for CME

Catalysts and Growth Driver

CME Group

Sustained macro volatility and aggressive expansion into the cryptocurrency and retail market drives the record-breaking volume growth

Catalysts that impact the long-term growth

Long-term Growth Drivers

28.1M

Record FY2025 ADV

+6% YoY

Highest-ever annual average daily volume of 28.1M contracts. Growth is broad-based across interest rates, equities, and commodities.

+92%

Crypto Derivatives ADV

Institutional adoption of crypto derivatives accelerated sharply, with crypto ADV reaching over $13B in daily notional value in Q4 2025.

$803M

Market Data Revenue

+3.5%

In FY2025, CME experienced a 3.5% annual price increase and growing global demands from quant funds and banks. This represents ~12% of total revenue

+18% / +6%

Asia-pacific / EMEA ADV

International expansion reduces its dependence on the US macro conditions. Asia-Pacific ADV grew 18%, and EMEA grew 6% in Q4 2025. This reaches a combined 8.3M contracts daily.

Near term Catalysts

01 Securities Clearing House

CME received SEC approval to launch a securities clearing house in 2026. This opens an entirely new revenue-earning section beyond derivatives.

02 24/7 Crypto Derivatives Trading

CME launched round-the-clock crypto derivatives trading in early 2026 to align with digital asset market hours. Crypto ADV surged 92% YoY in Q4 2025 to over $13B in daily notional value.

03 Google Cloud Tokenization

CME partnered with Google Cloud to build a tokenized collateral platform. It enabled clients to use tokenized cash and non-cash assets as margins, lowering the capital requirements

Risks & Mitigation

CME Group

CME Group has manageable risks – structural moats and diversified revenue streams substantially limit the downside.

Risks	Mitigant	Impact
Market Volatility Cyclicality Transaction revenue is structurally tied to volatility. If traders hedge less, ADV declines.	Diversified across interest rates, equities, commodities, energy, and crypto. $803M in subscription-based market data revenue (12% of FY2025 total) is non-transactional, providing a stable floor regardless of trading volumes.	Medium Cyclical drag offset by recurring revenue base and broad asset class mix.
Policy Shifts US tariff and trade policy uncertainty clouds agricultural and energy commodity volumes.	Deep, embedded regulatory relationships. Global footprint across EMEA and Asia-Pacific limits single-jurisdiction exposure and provides a natural policy hedge.	Low Regulatory relationships are structurally embedded; global diversification limits concentration.
Cloud Migration Risk Multi-year cloud transition causes dual infrastructure costs, latency, and potential service disruptions.	Phased migration approach — core matching engines already migrated in earlier waves. Rigorous DR protocols, parallel-run testing, and contractual SLAs with Google	Medium Execution risk real but well-managed; no client-impacting incidents to date.
DeFi Disintermediation DeFi offers permissionless on-chain perpetuals. Causes potential risks if the institution shifts towards them	Cross-margining saves clients ~$120B+ annually in posted margin, creating very high switching costs. Regulated status is a hard requirement for most institutional investors globally.	Medium DeFi risk is real for the crypto vertical, but the regulated moat remains very strong overall.

The risks are mostly industry-wide — CME Group's network effects and diversified revenue make it resilient.

Sources: Analysis

Intrinsic Valuation:

Discounted Cash Flow Analysis Summary

Implied Share Price	
Terminal Growth Rate	2.75%
Terminal Value	139,971
Present Value of the Terminal Value	97,067
Present Value of Free Cash Flow	21,888
Enterprise Value	118,955
(-) Net Debt	-995
Equity Value	119,950
FDSO (mm)	360
Implied Price per Share	333.20

	2026P	2027P	2028P	2029P	2030P
Total Revenue	7,042	7,676	8,444	9,373	10,404
EBITDA	5,986	6,525	7,177	191	205
EBIT	5,563	6,064	6,670	7,404	8,219
EBIAT	**4,284**	**4,669**	**5,136**	**5,701**	**6,328**
Unlevered FCF	**4,595**	**4,968**	**5,346**	**5,971**	**6,600**
Discount Rate (WACC)	7.6%	7.6%	7.6%	7.6%	7.6%
Present Value of FCFF	4,271	4,291	4,291	4,455	4,577
Sum of PV of FCFs	**21,888**				

Weighted Average Cost of Capital	
Market Cap (m)	114,430
Risk Free Rate	4.11%
Market Risk Premium	6.00%
Beta	0.6
Cost of Equity	7.7%
Interest Expense	173.4
Total Debt	3422.3
Cost of Debt	5.1%
WACC	7.6%

Key Assumptions

Rev. Growth

Revenue Growing at a CAGR of 8.0% over the N5Y

EBITDA Margin

EBITDA Margin Growing at 85%

EBIT Margin

EBIT Margin Growing at 79%

Sources: Analysis

Intrinsic Valuation:

CME Group

Sensitivity Analysis

Weighted Implied Share Price			
WACC/Terminal Growth Rate	**2.50%**	**2.75%**	**3.50%**
7.0%	361.33	379.62	**450.14**
7.6%	319.06	**333.20**	384.90
8.0%	**296.12**	307.79	350.57

Bear Case

WACC: 8.0%
Terminal Growth Rate: 2.50%

Share Price: $296.12

Base Case

WACC: 7.6%
Terminal Growth Rate: 2.75%

Share Price: $333.20

Bull Case

WACC: 7.0%
Terminal Growth Rate: 3.50%

Share Price: $ 450.14

Sources: Analysis

Relative Valuation

Comps Analysis

Companies	Market Cap	Enterprise Value	TTM EBITDA	Price/Earnings	EV/EBITDA
Intercontinental Exchange (NYSE: ICE)	94.15B	110.82B	6,709	28.73	16.52x
Nasdaq (NASDAQ: NDAQ)	50.05B	56.16B	3,131	28.50	17.94x
Cboe Global Markets (BATS: CBOE)	31.32B	30.65B	1,741	28.71	17.60x
London Stock Exchange Group (LON: LSEG)	58.50B	68.79B	6,085	36.55	11.30x
Deutsche Borse (ETR: DB1)	51.59B	58.82B	4,055	22.23	14.50x
Mean	57.12B	65.05B	4,344	28.94	15.57x
Median	51.59B	58.82B	4,055	28.71	16.52x
CME Group (NASDAQ: CME)	114.43B	113.31B	5,834	28.59	19.42x

- CME trades at 19.4x EV/EBITDA, a ~17% premium to the peer median (16.5x).
- Premium reflects market leadership in derivatives, high operating margins, and resilient transaction-driven revenue model.

100 GBP = 134.31 USD

100 EUR = 116.18 USD

DCF (I of II)

CME Group

Select Operating Data

				Projected Annual Forecast				
	2023A	**2024A**	**2025A**	**2026P**	**2027P**	**2028P**	**2029P**	**2030P**
Revenue	$5,579.0	$6,130.0	$6,521.0	$7,042.7	$7,676.5	$8,444.2	$9,373.0	$10,404.1
Revenue Growth Rate (%)				*8.0%*	*9.0%*	*10.0%*	*11.0%*	*11.0%*
EBITDA	$4,666.0	$5,039.0	$5,834.0	$5,986.3	$6,525.0	$7,177.5	$7,967.1	$8,843.5
EBITDA Margin (%)				*85.0%*	*85.0%*	*85.0%*	*85.0%*	*85.0%*
EBIT	$ 4,313.00	$ 4,702.00	$ 5,504.00	$5,563.7	$6,064.5	$6,670.9	$7,404.7	$8,219.2
EBIT Margin (%)				*79.0%*	*79.0%*	*79.0%*	*79.0%*	*79.0%*
Depreciation & Amortization	$352.0	$337.0	$331.0	$394.4	$406.9	$346.2	$440.5	$457.8
D&A as a % of revenue				*5.6%*	*5.3%*	*4.1%*	*4.7%*	*4.4%*

Select Balance Sheet And Other Data

				Projected Annual Forecast				
	2023A	**2024A**	**2025A**	**2026P**	**2027P**	**2028P**	**2029P**	**2030P**
Cash	$2,912.0	$2,892.0	$4,417.0	4,417.0	4,417.0	4,417.0	4,417.0	4,417.0
Accounts Receivable	543.0	582.0	649.0	710.0	783.8	873.2	981.5	1,103.2
Accounts Payable	$90.6	$79.9	$71.8	$63.9	$57.5	$52.3	$48.1	$44.3
Debt	3,425.0	3,428.0	3,422.0	3,422.0	3,422.0	3,422.0	3,422.0	3,422.0
Gross PP&E (increases annually be capex)	1,343.0	1,411.0	1,368.0	1,381.7	1,409.3	1,451.6	1,509.7	1,570.0
Accounts Receivable Growth (%)				*9.4%*	*10.4%*	*11.4%*	*12.4%*	*12.4%*
Accounts Payable Growth (%)				*(11.0%)*	*(10.0%)*	*(9.0%)*	*(8.0%)*	*(8.0%)*
Capital Expenditures Growth (%)				*1.0%*	*2.0%*	*3.0%*	*4.0%*	*4.0%*

Free Cash Flow Buildup

$mm				Projected Annual Forecast				
	2023A	**2024A**	**2025A**	**2026P**	**2027P**	**2028P**	**2029P**	**2030P**
Period				1	2	3	4	5
Total Revenues				$7,042.7	$7,676.5	$8,444.2	$9,373.0	$10,404.1
EBITDA				5,986.3	6,525.0	7,177.5	7,967.1	8,843.5
EBIT				5,563.7	6,064.5	6,670.9	7,404.7	8,219.2
Tax rate				**23.0%**	**23.0%**	**23.0%**	**23.0%**	**23.0%**
EBIAT				**$4,284.1**	**$4,669.6**	**$5,136.6**	**$5,701.6**	**$6,328.8**
Depreciation & Amortization				394.4	406.9	346.2	440.5	457.8
Accounts receivable				(61.0)	(73.8)	(89.4)	(108.3)	(121.7)
Accounts payable				(7.9)	(6.4)	(5.2)	(4.2)	(3.9)
Capital expenditures				(13.7)	(27.6)	(42.3)	(58.1)	(60.4)
Unlevered free cash flows				**$4,595.9**	**$4,968.6**	**$5,346.0**	**$5,971.6**	**$6,600.6**
Discount Rate *(WACC)*				*7.6%*	*7.6%*	*7.6%*	*7.6%*	*7.6%*
Present value of free cash flows				$4,271.4	$4,291.9	$4,291.9	$4,455.7	$4,577.4
Sum of present values of FCFs	**$21,888.3**							

DCF (II of II)

CME Group

Terminal Value		
Growth in perpetuity method:		
Long term growth rate	2.75%	
WACC	7.6%	
Free cash flow (t+1)	6,782.1	
Terminal Value	139,971.5	
Present Value of Terminal Value	**$97,067.0**	

WACC		
Share Price		$306.34
Diluted Shares Outstanding		360.0
Cost of Debt		5.1%
Tax Rate		23.0%
After-tax Cost of Debt		3.9%
Cost of Equity		7.7%
Total Debt ($)		$3,422.0
Total Equity ($)		110,282.4
Total Capital		**$113,704.4**
Debt Weighting		3.0%
Equity Weighting		97.0%
WACC =		**7.6%**

Enterprise Value to Equity Value		
Enterprise Value		$118,955.3
Less: Net debt		(995.0)
Equity Value		**$119,950.3**
Diluted Shares Outstanding		360.0
Equity Value Per Share		**$333.20**